Who Should My Ancestor Invest In?

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Introduction

The advice id give to my ancestor for January 1725 is to buy shares in the English East India Company instead of the Dutch East India Company, and to hold them until the year1750, the last year my ancestor would be allowed to sell. I am more sure on my beliefs on the comapny than i am on the finnancial turnout. Ethics did not go into my decission in this.

How the two companies differed

The Dutch East India Company was the older of the two companies. It started in 1602 and allowed investors to leave their money in the company instead of getting it back after each trip. The English East India Company started in 1600 but did not begin doing this until 1657, when it copied the Dutch system (Thomas 2024, p. 7). A book written by an Amsterdam merchant in 1722 explains how the Dutch company was run. It had 65 directors divided between different offices, and the Amsterdam directors could keep their jobs for their entire lives (Ricard 1722, pp. 374 to 375). There was also a group of seventeen leaders called the Council of Seventeen. Shareholders did not get to choose the directors, and the company kept most of its financial information secret from outsiders (Thomas 2024, pp. 7 to 8). The English company was younger and tied closely to the state. The old and new companies merged together in 1708 (Memoir 1830, p. 7). By 1744 it had loaned the government 4,200,000 pounds (Memoir 1830, p. 12).

Both companies paid similar dividends in 1725. The Dutch company paid about 22 percent of the original share price each year in the 1720s (Thomas 2024, p. 41). However, its shares were very expensive. In 1720, a share cost about 850, so even a 40 percent dividend only gave new buyers about a 4.7 percent return (Ricard, p. 402, my calculation). The English company paid 3.50 to 4 pounds twice a year for every 100 pound share (Beach, Norman and Wills 2013, p. 77). Since shares cost around 150 to 160 pounds, buyers earned about 5 percent of their money back each year.

Fortunes, 1725 to 1750

The Dutch East India Company's finances got worse over these years even though it kept paying. Its total worth was 54.4 million florins in 1730, 44.6 million florins in 1740 and 29.5 million florins in 1750, a fall of about 46 percent, while its debts at home more than doubled from 10.55 million to 22.25 million florins (Thomas 2024, p. 41). In the 1730s it earned about 3.2 million florins and paid out about 13.1 million florins. In the 1740s it lost about 3.6 million florins and still paid about 11.4 million florins (p. 41). Thomas's text calls the company profitable (p. 43), against his own table, so I use these numbers with care. De Jong describes the same years differently, the Dutch company was "reaching the height of its trading, shipping and shipbuilding operations in the middle of that century" (2016, p. 7). A company can be at its biggest and still pay out more than it earns.

The English East India Company's price moved around more but ended higher. It was about 149 in October of 1724 and about 164 in June 1725 (Beach et al. 2013, p. 84), so my ancestor would pay roughly 150. Through the 1730s it ranged from about 135 to about 180, and it reached about

195 in 1743 (Gentleman's Magazine). Then the war ran from October 1739 to October 1748 (Neal 1985, p. 7). The French took Madras, which cost the company 180,000 pounds, and it was returned after the peace treaty (Memoir 1830, p. 13, and Smith 1776, Book V, ch. 1, pt. 3). In 1745 the price read 186 in June, 174 in August and then 169 in November (Gentleman's Magazine), a drop that fits the Jacobite invasion and the panic that followed (Bell, Brooks and Taylor 2016, p. 6). Dutch investors held a growing share of English East India Company stock, from 13.4 to 21.4 percent between 1723 and 1750 (Neal 1985, p. 23).

Which company, and when to sell

I would buy the English company for two reasons. The Dutch company was weakening during exactly the years my ancestor would own it, and shareholders could not see it. The English dividend stayed the same while its price rose. A share bought near 150 pounds would pay about 7 to 8 pounds a year, and the Memoir says the dividend stayed at around 8 percent until it was cut to 6 percent in 1755 (p. 26). Over 25 years that is about 175 to 200 pounds. Sold around 185 to 190, the share returns roughly 360 to 390 pounds on a 150 pound purchase.

Why I would choose 1750 over 1745. Selling in June 1745 at 186 after twenty years of dividends about 140 to 160 pounds returns roughly 330 to 345 pounds. Waiting five more years adds about 35 to 45 pounds, almost all of it extra dividends, because the price is about the same. Around 1749 the company agreed to cut the interest the government paid on its 4.2 million pound loan from 4 to 3 percent (Memoir 1830, p. 12), but the dividend held at around 8 percent until 1755 (p. 26), so holding until 1750 still paid. I would also have my ancestor buy in early January. The books closed for the dividend around mid January in 1724 and 1725, and during that time the price was quoted without the dividend (Beach et al. 2013, p. 71, and Neal 1985, pp. 20 to 21).

The ethical question

The Dutch East India Company did a lot of terrible things, especially during the massacre in Batavia in 1740. In letters, the Dutch leaders called the Chinese rebels "the scum of the rebelling Chinese" (Generale Missiven, Deel 10, p. 583). They also talked about destroying them (p. 587). Later, they wrote about goods that belonged to Chinese people who had been massacred (p. 650). The company also forced people in the spice islands to remove half or more of their clove trees when there were too many cloves being grown (Deel 11, p. 28). Hamilton wrote in 1727 that the Dutch made it illegal for natives to plant cloves or nutmeg on one of the Banda islands with rule breakers being executed (vol. 2). Even though the company officially banned slave trading, many employees and even directors still took part in it (Chakraborty 2016, pp. 237 to 238). In 1736, a slave who killed his owner was punished by being tortured on the wheel (p. 274). The company also treated its own workers badly. Only 19 to 30 percent of its soldiers and 40 to 60 percent of its sailors ever returned home. Between 1730 and 1750, about 13 percent died during an average voyage (de Jong 2016, pp. 58 to 59, 86).

The English East India Company was no better with slavery. Chakraborty finds "strong indications that the English East India Company, and not simply its officials in private capacities, was involved in the overseas slave trade" (2016, p. 241). Its Calcutta council ordered slaves bought for Sumatra in 1706 and 1707 and collected money for slave sales (pp. 241 to 242). At Bencoolen

on Sumatra, the directors ordered a ship to Madagascar in 1748 “to purchase 250 slaves” after smallpox had killed a lot of them. (Allen 2018, p. 155). So if my ancestor cared about ethical investing they should likely still pick the English company.

What to tell my ancestor

I would tell them to buy English East India Company stock in early January 1725 at about 150 per 100 pound share.

Expect two dividends a year of 3.50 to 4 pounds each.

Expect a war dip and a drop in late 1745. Do not sell then.

Sell in 1750 near 185 to 190.

Do not expect a clean ethical choice. Both companies profited from slavery.

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